

People misinterpret this to mean that investors should keep things at the surface level. In fact, it paradoxically takes a great deal of depth to stay simple. The analyst's job is to tear apart an investment in order to understand its essential elements. A great security analyst is willing to rip a company down to its studs and understand each part before they reassemble it. In the massive sea of information that an analyst is continuously ingesting, there is always one piece that matters more than the others. Finding that morsel is what keeping it simple means.

An example that stands out most in my mind dates back to 2002. I was a young analyst attending a "payments" conference, and I was looking at Mastercard for the first time. Although it was still a private company, management was nevertheless presenting on the company, which intrigued me. Perhaps because it was private and therefore not offering a clear way to invest in or profit from researching it, only a few of us were on hand for the presentation. I continued to follow the company closely and felt I understood it well by the time it came public in the spring of 2006. The company was being brought public to fund a large legal settlement. The Wall Street narrative at the time of Mastercard's IPO was that the company did not have pricing power. Surely bank consolidation was destined to squeeze its margins. But we saw things differently.

There were several key qualitative considerations in my Mastercard analysis. For example, as banks benefited from higher interchange revenues, their incentives were actually aligned with Mastercard's, and long-term pricing power was likely to remain strong. We believed growth would continue for a long time as credit cards continued to replace cash. And having publicly traded shares (rather than being owned by banks) facilitated creation of an incentive structure for management (just as in many past demutualizations of insurance companies and other customer-owned companies) to run a tight ship. Also, many of the apparent risks seemed overstated.